



**PIVOTBOSS
MASTERS**

CORE EXECUTION

**INTRODUCTION TO
ORDER FLOW**

INTRODUCTION TO ORDER FLOW



Order flow is absolutely the most important market-generated information available to active traders, and the ability to read order flow is an essential skill for any professional trader in today's trading environment.

It's our final level of analysis that will allow us to execute trades in the market with confidence.

Technical Analysis helps you analyze the past, while Order Flow helps you analyze the present.



INTRODUCTION TO ORDER FLOW

Order Flow is simply the flow of orders that are being transacted in the market at the present. Order flow analysis is reading the flow of transactions and future orders to reveal the unfolding story of the market.

This analysis allows you to understand where market participants are positioned right now, so that you may more accurately predict future price movement.

In essence, order flow analysis offers the most accurate way to read what's happening in the market right now.

INTRODUCTION TO ORDER FLOW

Reading order flow is what gave floor traders such a huge advantage in the trading pits for decades. Floor traders were able to see the flow of large orders, from institutions and traders alike, and were able to lean on these orders to bid with the bidders, offer with the offerers, and squeeze the losing side.

This is also the reason why most floor traders failed to make money when they moved off the floor. A way to read order flow had not yet been invented for screen traders off the floor. However, this all changed over the last 8 to 10 years, as trading platforms became more advanced and began offering tools specifically designed to read order flow.

INTRODUCTION TO ORDER FLOW

1. Order flow is all the orders being transacted right now
2. Order flow is the present
3. Order flow analysis is reading the flow of transactions and future orders to predict future price movement
4. Order flow analysis allows you to see inside the auction
5. Order flow is the most important market-generated information available to traders
6. Order flow is what moves price



INTRODUCTION TO ORDER FLOW

The Benefits of Order Flow Analysis:

1. Helps you see the auction at its most accurate level
2. Helps you identify the market's current bias
3. Helps you see where market participants are positioned
4. Helps you spot and confirm exact reversals
5. Helps you identify confirmed retest entries
6. Helps with real-time trade management

INTRODUCTION TO ORDER FLOW

Order Flow Components

The two components that make up Order Flow are aggressive and passive market participants. Understanding how aggressive and passive market participants make up the order flow, and reading the story of the auction through these participants, is the key to unlocking future price direction.

An aggressive market participant is one who uses a Market order to transact a trade. A passive market participant is one who uses a Limit order to transact a trade.

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Aggressive Market Participants

An aggressive buyer will “lift the offer” by transacting a market order to buy on the best offer, while an aggressive seller will “hit the bid” by transacting a market order to sell on the best bid.

These market participants are considered aggressive because they are willing to pay the 1-tick spread to enter the market immediately

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Passive Market Participants

A passive buyer places a limit order to buy below last price ("resting bid") and allows the market to approach the limit in order to execute the trade, while a passive seller places a limit order to sell above last price ("resting offer") and allows the market to approach the limit in order to execute the trade.

These market participants are considered passive because they are not eager to enter the market at the current price, but are willing to allow price to come to their location for a better entry.

INTRODUCTION TO ORDER FLOW

Order flow analysis is reading the developing storyline between aggressive and passive market participants.

At its core, the auction is a constant battle between passive and aggressive market participants. Passive market participants use Limits orders to absorb aggressive market participants, while aggressive participants looks to sweep Limit orders to influence price.

This battle between passive and aggressive market participants is what moves price each and every time, unlike any other form of market analysis. If you become an expert at reading order flow, you'll have a long and prosperous trading career.

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The Order Flow Playbook

1. If passive buyers absorb aggressive supply at a price level, price will reverse higher
2. If passive sellers absorb aggressive demand at a price level, price will reverse lower
3. If aggressive sellers sweep the bids of passive buyers, price will tick lower
4. If aggressive buyers sweep the offers of passive sellers, price will tick higher
5. Trapped aggressive sellers become buyers and fuel price higher
6. Trapped aggressive buyers become sellers and fuel price lower

INTRODUCTION TO ORDER FLOW



Order Flow Analysis is King

1. Order Flow is orders being transacted right now
2. Order Flow is the present
3. Order Flow allows you to see inside the auction
4. Order Flow is the most accurate form of analysis
5. Order Flow is what moves price - every time
6. Traders who are experts at reading order flow will have trading longevity





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